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AMD World Labs Deal Helps Keep Pace With Nvidia on Models: React

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(Bloomberg Intelligence) -- RECENT EVENT REACTION: AMD's $8.2 billion acquisition of World Labs is unlikely to be financially supportive anytime soon, but it represents a strategic build-out that AMD increasingly needs to stay competitive as AI differentiation moves beyond chips alone. The deal does put another tool in AMD's AI software and model box, an area where it has remained meaningfully behind Nvidia. Nvidia's investment in software, libraries and homegrown models has become an indirect driver of compute adoption, particularly among developers and enterprises. Bringing World Labs' research in-house could help AMD move further down a similar path, using model expertise to shape future silicon, software and system roadmaps. (09/29/26)

1. AMD GPU Ramp-Up, CPU Boost Key to 2027 AI Growth: Equity Outlook

THESIS: AMD's near-term growth and margin stability are increasingly supported by robust server-CPU demand. EPYC sales are accelerating across cloud and enterprise as agentic AI, inference orchestration and head-node workloads expand CPU requirements. AMD expects the server-CPU total addressable market to reach about $220 billion by 2030, while we expect revenue growth above 80% in 2H and 70% in 2027. Higher-margin server CPUs can help offset initial dilution as Helios rack-scale systems expand. More than 14 gigawatts of disclosed AI commitments across Meta, OpenAI and Anthropic begin expanding from 4Q26, supporting our scenario for Data Center revenue to more than double in 2027. (08/08/26)

Financial Review

Earnings

2. AMD Server CPU, GPU Momentum Lifts 2027 View: Earnings Outlook

Post-2Q Earnings Outlook: AMD's 2Q sales beat of 2% and 3Q guidance beat of 4% may not have satisfied elevated buy-side expectations, but management's forward commentary on server CPU and GPU growth in 2026-27 points to accelerating fundamental growth and should lift consensus estimates. Server CPU tailwinds are strengthening as AI orchestration, agentic workloads and head-node demand expand general-compute needs, with AMD's strong market-share position making it a key beneficiary. Management's raised server CPU outlook, targeting over 80% year-over-year growth in 2H26 and over 70% in 2027, clears consensus expectations, underscoring a structural expansion independent of GPU

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timing. Implied GPU targets also confirm upside after recent multi-gigawatt customer announcements over the past six months.

Scaling supply commitments and expanding multi-gigawatt engagements with Meta, OpenAI and Anthropic position AMD for further potential upside as 2026 closes. Gross-margin resilience near 56% despite memory price inflation highlights execution discipline, with high-margin server CPU and recovering embedded sales helping absorb initial lower-margin Helios rack-scale shipments into 2027. (08/05/26)

Highlights From Recent Results:

- Server CPU Outlook Raised to More Than 80% 2H Growth and Over 70% in 2027
- Data-Center Segment Revenue Projected to More Than Double in 2027
- Helios Rack-Scale Shipments Scale Across Meta, OpenAI and Anthropic
- Gross Margin Holds Near 56% Supported by High-Margin CPU and Embedded Mix

Additional Resources:

- Earnings Release | NSN »
- Earnings Call Transcript | DOCC »

Long-Term Drivers

3. AMD CPU Strength, Helios AI Ramps Drive 2027 Scale

AMD's long-term growth is increasingly supported by its expanding server-CPU franchise, with EPYC benefiting from agentic AI, inference and head-node workloads that broaden the server-CPU addressable market toward $220 billion by 2030. Our scenario points to CPU revenue growth above 80% from a year earlier in 2H and 70% in 2027, supporting share gains and providing a margin buffer as lower-margin Helios rack-scale systems ramp up.

MI450 and Helios extend AMD into system-level, multigigawatt AI infrastructure. More than 14 gigawatts of disclosed commitments across Meta, OpenAI and Anthropic support our scenario for Data Center revenue to more than double in 2027. Execution on ZT Systems integration and rack-scale delivery is key to supporting the fundamental case relative to AMD's valuation. (08/08/26)

Bloomberg Intelligence Model (Click to Open)

Advanced Micro Devices Inc
AMD US

Bloomberg Interactive Calculator Vs 2.0

Advanced Micro Devices Inc

	2024	2025	2026	2027	2028
Key Drivers					
Data Center	12,579	16,635	31,032	59,372	81,584
Y/Y Change	*93.6%*	*32.2%*	*86.5%*	*91.3%*	*37.4%*
Consensus - YoY Growth			*88.5%*	*91.3%*	*37.4%*
Client and Gaming	9,649	14,550	15,067	15,703	17,212
Y/Y Change	*-11.2%*	*50.8%*	*3.6%*	*4.2%*	*9.6%*
Consensus - YoY Growth			*3.9%*	*4.2%*	*9.6%*
Key Financial Metrics					
Total Revenue	25,785	34,639	49,987	79,379	103,438
Consensus			*49,801*	*78,451*	*105,975*
Gross Margin (non-GAAP)	49.4%	49.6%	54.3%	54.4%	54.6%
Consensus			*55.9%*	*55.6%*	*55.4%*
Operating Margin (non-GAAP)	23.8%	22.4%	26.7%	31.2%	33.9%
Consensus			*28.1%*	*33.2%*	*35.1%*
Diluted EPS (non-GAAP)	3.31	4.18	7.60	13.55	18.56
Consensus			*7.44*	*13.80*	*18.97*

Source: MODL <GO>, Bloomberg Intelligence

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Valuation

Valuation

4. AMD Trades at Premium to Nvidia and Broadcom, Also Grows Faster

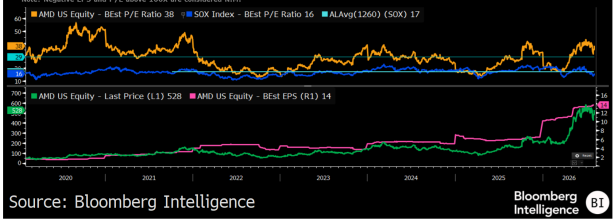
AMD trades at about 35x calendar 2027 earnings, above large-cap peers Nvidia and Broadcom at about 22x and the SOX at 18x. The premium reflects resilient server-CPU earnings and accelerating AI-accelerator expectations, with AMD positioned for the second-fastest AI semiconductor compute growth in 2026-27 among the peer group, ahead of Broadcom and Nvidia. Execution on the MI450 and Helios rack-scale ramp up from 4Q is key to supporting that premium.

Key milestones include full-stack system delivery, converting multigigawatt commitments from Meta, OpenAI and Anthropic into revenue, and improving operating leverage. Slower deployments can weaken the fundamental case relative to the valuation. (08/08/26)

Valuation vs. Peers

	Companies	Market Cap ($B)	Revenue Growth (%) 2025	Revenue Growth (%) 2026E	Revenue Growth (%) CAGR % (2024-2026E)	Gross Margin (%) 2025	Gross Margin (%) 2026E	Operating Margin (%) 2025	Operating Margin (%) 2026E	EPS Growth (%) 2026E	EPS Growth (%) 2027E	P/E 2026E	P/E 2027E
	ADVANCED MICRO DEVICES	$791	34.2	44.0	39.0	52.0	55.7	21.6	28.3	80.4	83.6	69x	35x
Large Cap Peers	BROADCOM INC	$1,845	25.3	75.8	40.8	78.4	74.9	65.3	66.9	81.8	58.9	34x	20x
	TEXAS INSTRUMENTS INC	$255	13.0	23.4	18.1	56.4	60.6	34.1	42.6	41.7	21.3	33x	27x
	INTEL CORPORATION	$511	-0.6	19.4	8.9	36.7	41.8	5.5	15.4	258.5	35.9	70x	50x
	QUALCOMM INC	$159	11.5	-7.4	1.6	55.6	53.8	35.2	27.9	-22.0	17.1	20x	14x
	NVIDIA	$4,720	65.4	80.3	72.7	73.1	74.9	63.3	66.3	86.3	46.5	23x	16x
	ANALOG DEVICES INC	$184	23.2	33.7	28.4	69.7	72.5	42.7	49.1	57.6	17.5	29x	24x
	Average	$1,279	23.0	37.5	28.4	61.7	63.1	41.0	44.7	84.0	32.9	35x	25x
	Median	$383	18.1	28.6	23.2	63.1	66.6	38.9	45.8	69.7	28.6	31x	22x
	SOX	$14,053	22.5	41.4	18.1	50.7	61.4	23.1	43.7	105.8	40.4	25x	18x

Note: Periods represent calendar years, not fiscal years. Valuation Data as of August 4th, 2026
Note: Negative EPS and P/E above 100X are considered N.M.



Source: Bloomberg Intelligence

Bloomberg Intelligence

Key Topics

AI Accelerators $1.4T Forecast

AI Accelerator Market to Hit $1.4 Trillion as Chip Mix Shifts

The AI-accelerator market should reach $1.4 trillion by 2030, up from our prior $560 billion view, as higher system values and broader deployment lift GPU and custom-chip revenue. Our analysis shows GPUs retaining roughly 65-70% of the market as rising memory and other input costs lift pricing, while custom ASICs gain share as hyperscalers and frontier labs push proprietary chips into high-volume inference. Enterprise, sovereign and cloud demand should extend growth beyond the largest US platforms. (09/30/26)

5. AI Accelerator Market to Expand to $1.4 Trillion

Our AI-accelerator market forecast rises to $1.4 trillion by 2030, 150% above our prior view, with total revenue set to cross $1 trillion in 2028. Persistent increases in hyperscaler capital-spending plans through 2026, driven by expanding inference demand, lift our 2026-30 compound annual growth rate to 38%. GPUs should still account for about 65-70% of accelerator revenue by 2030 even as cloud providers and frontier labs accelerate custom-silicon adoption.

Both volume and pricing drive the upward revision. Our 2030 unit forecast rises 50%, while blended average selling prices increase 65% as rack-scale architectures, greater high-bandwidth-memory

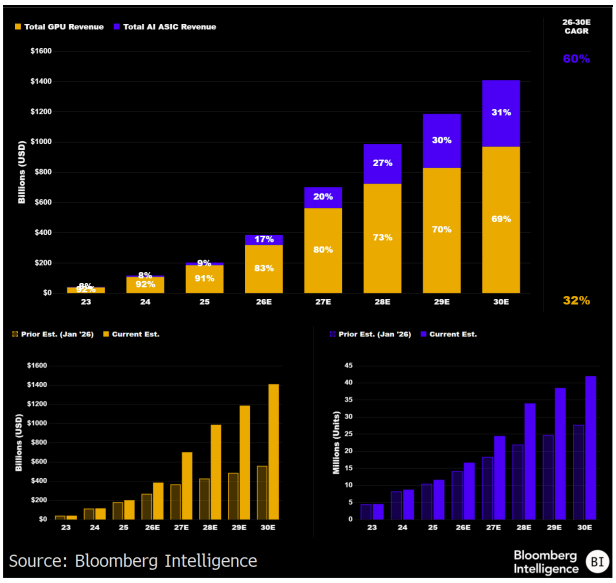
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content and tighter system integration lift the value of each deployment.

Custom silicon should take more than 30% of accelerator revenue by 2030, versus about 10% in 2025, but that share gain comes within a rapidly expanding market rather than at the expense of absolute GPU growth. GPU revenue should compound at more than 32% annually through 2030, up from our prior 23% forecast. (09/30/26)

AI Accelerator Total Addressable Market: GPUs and Custom ASICs



6. Rising HBM Costs, Content Drive GPU Revenue Revision

GPU revenue growth is increasingly driven by system value rather than unit expansion alone. Our annual data-center GPU deployment forecast rises to 16 million units by 2030 from 14 million previously. Even so, projected revenue rises 85% to more than $900 billion, reflecting an increase in our blended average selling price forecast to more than $58,000 per GPU from about $36,000.

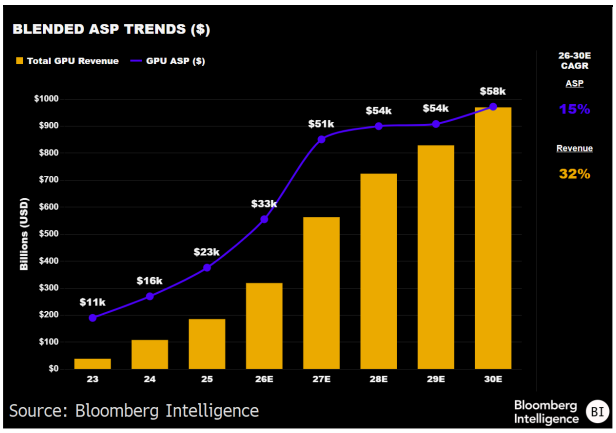
Higher pricing reflects the shift from stand-alone silicon toward rack-scale systems such as Blackwell and Vera Rubin NVL72, deeper integration and greater memory content, as high-bandwidth memory and server DRAM costs rise, with prices expected to increase 70-80% in 2027. The GPU supplier base is also broadening, with our 2030 revenue forecasts for AMD and the "Other GPU" category rising 145% and 622%.

Specialized inference suppliers and regional alternatives, including Cerebras, Groq and Huawei, could capture more than 10% of GPU-market revenue in aggregate by 2030, up from about 3-5% previously. Higher AMD and alternative-GPU shipments aid faster unit growth than Nvidia, while rising rack-scale value supports continued GPU revenue growth. (09/30/26)

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AI GPU Revenue & ASP Growth, 2023-30



7. HBM Content Scaling, Inflation Drive GPU Prices Higher

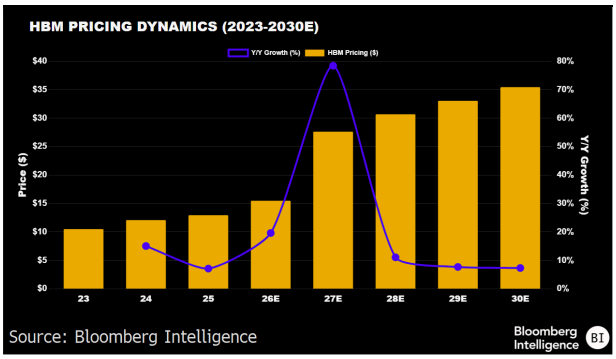
Rising high-bandwidth memory content and contract pricing are becoming key drivers of GPU average selling prices, supporting the increase in our AI-accelerator revenue forecast through 2030. As frontier models move toward multiturn agentic workloads and longer context windows, memory capacity per accelerator has increased from 80 and 141 gigabytes in Hopper H100 and H200 to 192 and 288 gigabytes in Blackwell GB200 and GB300. Memory can consequently represent about 60% of die- and package-level bill-of-materials costs for next-generation platforms such as Vera Rubin.

Higher memory content is coinciding with rising HBM contract pricing. Average HBM4 and HBM4E prices are expected to increase 70-80% in 2027, aligning with the timing of our forecast for a major uplift in average GPU prices. Nvidia's supply commitments have risen to $279 billion from $119 billion, with management indicating that well over half is tied to HBM and other advanced-memory procurement.

Higher input costs are flowing into full-system pricing rather than being absorbed entirely by accelerator vendors. Server-level price increases of more than 15% on Grace Blackwell and Vera Rubin racks help lift our scenario for Nvidia’s blended 2030 GPU average selling price.

Greater memory capacity and bandwidth can also improve token throughput per gigawatt, supporting hyperscalers’ willingness to pay more per accelerator. HBM-driven price expansion, rather than unit growth alone, is therefore a major contributor to our 2030 GPU-market revenue forecast exceeding $1 trillion. (09/30/26)

HBM Memory Pricing Forecast



8. Custom Chip Revenue to Grow 60% as Units Pass GPUs

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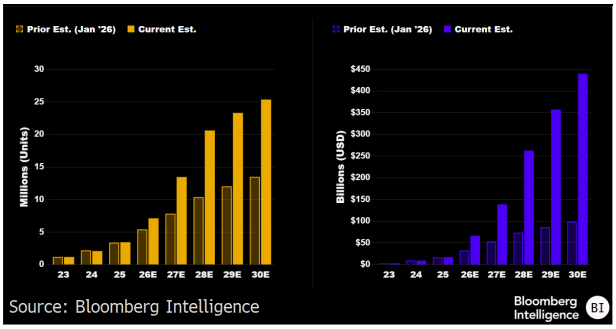
Custom chips are the largest single driver of our AI-accelerator forecast revision, with higher average selling prices contributing more to revenue growth than unit expansion. Our 2026-30 custom-chip unit forecast rises to a 36% compound annual growth rate from 32% previously, while revenue growth increases to 60% from 42%. More than two-thirds of the revenue uplift comes from higher pricing, with increased units accounting for roughly one-third.

The pricing increase reflects a sharp change in custom-silicon design. Two years ago, Google was the main hyperscaler deploying cutting-edge proprietary chips for training and inference. Amazon, Meta, Microsoft and others are now developing leading-edge accelerators with greater memory content, advanced chiplet packaging and deeper system integration, raising the silicon and system value of each deployment.

Faster adoption pulls the unit crossover forward to 2027, when annual custom-chip shipments should exceed general-purpose GPUs. Our prior forecast had the two maintaining roughly equal unit share through the end of the decade.

Broadcom and Marvell remain key US design partners, while hyperscalers are increasingly diversifying toward Asian suppliers such as MediaTek and Alchip. That broader ecosystem should accelerate deployment as cloud providers seek lower inference costs and greater control over data-center power consumption. (09/30/26)

ASIC Unit and Revenue Forecast Revision, 2023-30



9. Memory, Advanced Nodes Lift Custom-Chip Prices

Custom-chip average selling prices should rise sharply as hyperscalers move proprietary accelerators to leading-edge process nodes and more complex 2.5D and 3D packaging. Earlier custom accelerators used 7-nanometer and 5-nanometer processes with relatively modest memory configurations, while next-generation designs increasingly resemble flagship merchant GPUs in logic and memory content. We now expect blended custom-chip prices to be more than 135% above our prior 2030 scenario.

Earlier Google TPU v4/v6 and AWS Trainium1 designs carried about 16-32 gigabytes of HBM on 7-nanometer and 5-nanometer processes. Google TPU v7 Ironwood and TPU v8i Sunfish increase that to 192 and 288 gigabytes of HBM3e and HBM4 on 3-nanometer nodes. AWS' Trainium3 rises to 144 gigabytes, Microsoft's Maia 200 to 216 gigabytes and Meta's MTIA 400/500 to 284-288 gigabytes across increasingly advanced processes. OpenAI's Jalapeño also incorporates 216 gigabytes of HBM4 on a 3-nanometer N3P process.

HBM stacks, advanced logic wafers and packaging account for a growing share of custom-accelerator manufacturing costs. Multidie, reticle-sized chiplets and six to eight HBM stacks raise package-level bill-of-materials costs for design partners such as Broadcom and Marvell.

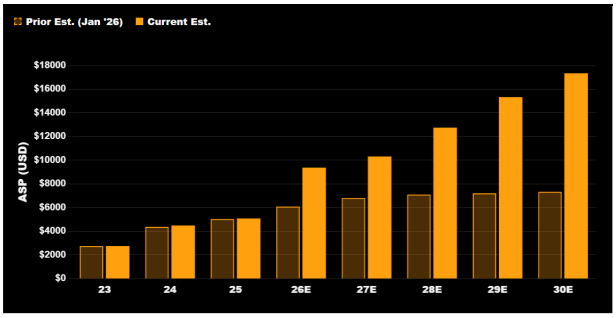
Hyperscalers can justify the higher unit cost when workload specialization, custom SerDes and direct-attached memory improve token throughput per watt and reduce total cost of ownership relative to general-purpose GPU systems. Leading-edge nodes and higher memory density are turning custom

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chips into higher-value components of AI infrastructure rather than simply lower-cost GPU alternatives. (09/30/26)

ASIC ASP Forecast Revision, 2023-30

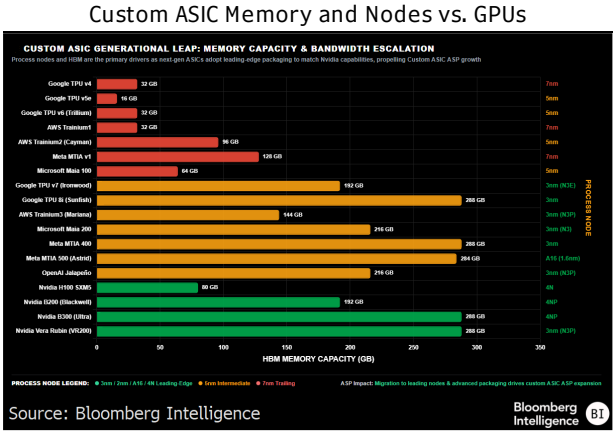


Source: Bloomberg

10. Custom-Chip Memory, Node Specs Catch Up to GPUs

(09/30/26)

Custom ASIC Memory and Nodes vs. GPUs



Extended Earnings Outlook

AMD's CPU Strength, Gigawatt Deals Drive 2027 Data-Center Size

Our scenario points to well over 100% growth in AMD's Data Center revenue in 2027, supported by more than 14 gigawatts of disclosed multiyear AI deployments and server CPU growth above 70%. EPYC's expansion is increasingly unit-driven as agentic AI broadens CPU demand across orchestration, sandboxing and head-node workloads, while its higher-margin mix helps offset the initially lower-margin Helios ramp up. Data Center gross margin may remain in the mid-to-high 50% range as AI revenue expands. (08/08/26)

11. Gigawatt AI Pipeline Drives 2027 Scale

More than 14 gigawatts of disclosed multiyear deployments across OpenAI, Meta and Anthropic give AMD substantial visibility into AI accelerator demand, with Oracle and Humain commitments taking announced capacity to about 15 gigawatts. OpenAI and Meta each begin with an initial gigawatt in 2H, while Anthropic's first gigawatt starts in 1H27. Initial Helios shipments begin late in 3Q, followed by a larger increase in 4Q and another step-up in 1Q27.

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Our scenario assumes $15-$20 billion of AMD silicon content per gigawatt, though revenue timing hinges on deployment schedules, cloud-provider consumption and data-center readiness. Microsoft adds another source of demand, but its capacity remains undisclosed as Azure plans to use Helios for internal workloads and hosted OpenAI demand. Execution on the OpenAI and Meta ramp-ups in 4Q, followed by Anthropic in 1H27, will be the main test of AMD's ability to deliver Helios systems at scale. (08/08/26)

Disclosed Gigawatt Commitments and Timeline

AMD's GW Rack Scale Commitments

Customer	2027 Estimated Online Capacity (GW)	Total Contracted Capacity (GW)	Primary Platform	Strategic Customization & Sourced Details
OpenAI	1 GW	6 GW	Instinct MI450 Series & Helios rack-scale systems	Core Compute Partner: Multi-year, multi-generation agreement with performance-based warrants for up to 160 million shares. OpenAI engineering has spent over 18 months co-designing the Instinct silicon and optimizing the ROCm software stack, focusing on Triton backend support. Deployments will be distributed across multiple cloud service providers and neoclouds chosen by OpenAI.
Meta Platforms	1 GW	6 GW	Custom MI450-based Instinct GPU & Helios rack-scale systems	Workload-Specific Co-Design: Meta's 6-gigawatt deal features a custom-engineered GPU accelerator based on the MI450 architecture, co-designed to optimize Meta's specific internal workloads using its chiplet architecture. Meta and AMD co-developed the Helios double-wide rack system based on the Open Compute Project Open Rack Wide standard. Includes up to 160 million share performance-based warrants.
Anthropic	1 GW	Up To 2 GW	Instinct MI455X & Helios rack-scale systems	Strategic Equity & Claude Integration: Partnership backed by an AMD strategic equity investment of up to $5 billion. The companies are launching a multi-year engineering collaboration to utilize Anthropic's Claude to accelerate ROCm software development and optimize GPU workloads. AMD will also broadly adopt Claude across its internal engineering teams.

Source: Bloomberg Intelligence

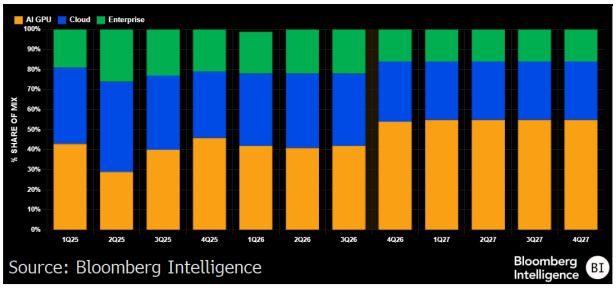
Bloomberg Intelligence

12. Server-CPU Strength Counters AI GPU Mix Shift

AMD's Data Center revenue growth should rise as AI accelerator demand combines with rapid server-CPU expansion, keeping EPYC a larger share of segment revenue than previously anticipated. Our scenario points to about 140% AI accelerator revenue growth in 2027 as Helios deployments increase, while server-CPU revenue climbs more than 70%, driven mainly by unit growth and higher average selling prices from a mix shift toward higher-core-count processors.

AI accelerators aren't displacing CPU demand. Agentic AI is expanding processor requirements across orchestration, sandboxing and enterprise applications, and AMD expects these systems to account for about half of the server-CPU total addressable market within the next few years. Higher-margin EPYC and Embedded growth should offset initial dilution from the AI accelerator ramp-up, supporting Data Center gross margin near 60% in our scenario. (08/08/26)

Data-Center Revenue Split by Segment



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Advancing AI 2026

AMD Helios Wins, Larger CPU Market Reinforce $2 Trillion AI Path

AMD strengthened the case for its broader data-center strategy, with more than 14 gigawatts of disclosed AI-infrastructure commitments validating its Helios platform. The company also lifted its 2030 opportunity to about $2 trillion, led by a $1.4 trillion accelerator market and a server-CPU total addressable market exceeding $220 billion, as agentic AI drives orchestration and general-compute demand. AMD is moving into rack-scale competition with Nvidia, though deployment cadence, networking performance and conversion of commitments into revenue remain the key tests. (07/24/26)

13. AMD Has Double-Digit Gigawatt Visibility Through 2030

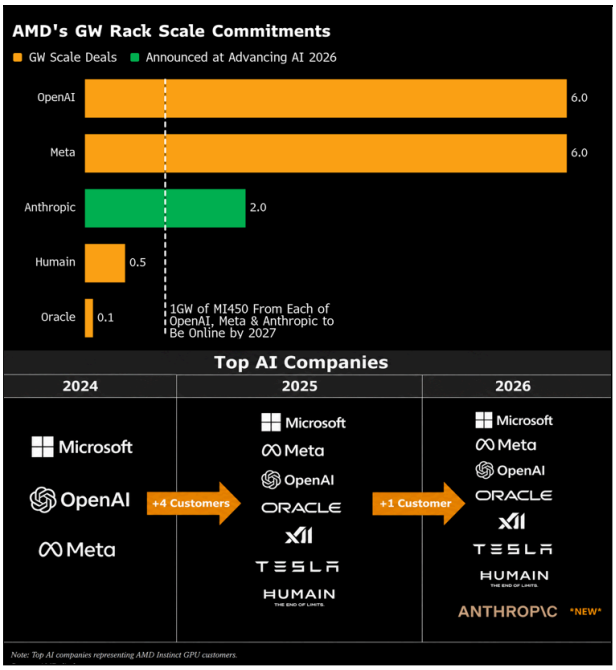
AMD now has more than 14 gigawatts of disclosed AI-infrastructure commitments, led by 6 gigawatts each from OpenAI and Meta, up to 2 gigawatts from Anthropic, and more than 500 megawatts from Oracle and Humain. Initial Helios deployments should begin in 3Q, with Anthropic's first gigawatt planned for 1H27, providing multiyear visibility for AMD's MI450-series GPUs, Helios racks, EPYC CPUs and Pensando networking. The Anthropic agreement announced at AMD's Advancing AI event could lift 2027 AI-revenue estimates above current consensus of about $34 billion and toward $40-$50 billion, as the companies plan an aggressive 2027 ramp-up of the first-gigawatt commitment, even if full capacity deployment bleeds into 2028. At an estimated $15-$20 billion of AMD revenue per gigawatt, the opportunity is substantial, though some Anthropic capacity may be accessed through cloud providers rather than translating into direct chip sales.

Total visibility could exceed 21 gigawatts through 2030 if customers exercise expansion plans, including Humain’s longer-term targets. Microsoft adds further upside through Azure Helios deployments, though capacity hasn't been disclosed. Customer breadth validates the Helios road map, but revenue recognition depends on deployment timing, direct-versus-cloud consumption and the pace at which commitments convert into shipments. Still, this marks a major shift from 2024-25, when AMD’s rack-scale ambitions were unproven. The largest hyperscalers and leading large-language model labs have given AMD a stamp of approval. (07/24/26)

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Gigawatt-Scale Commitments, Top Customers



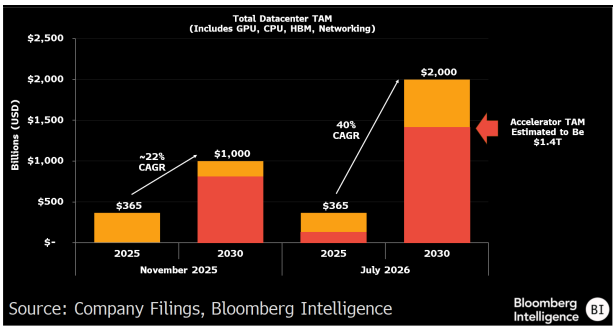
Source: Bloomberg Intelligence

14. AI TAM View Tops $1 Trillion With Full-Stack Scope

AMD now sees its total addressable market reaching about $2 trillion by 2030, including $1.4 trillion of AI accelerators, more than $220 billion of server CPUs and the balance across networking and adjacent infrastructure. The accelerator outlook extends the prior $1 trillion estimate for 2028, implying about 18% annual growth through 2030 rather than a major acceleration. The larger change is CPUs, with the market expected to rise from roughly $25 billion today as agentic AI drives demand for orchestration, general compute and sandboxing (isolated test environments). That lifts the TAM to $220 billion from the $120 billion AMD estimated in May.

The shift favors AMD because its server-CPU position is more established than its accelerator share, providing a lower-risk bridge to the MI450 and Helios ramp-up. Helios, Venice and Pensando could also expand content per deployment, though software, networking and conversion of gigawatt commitments into revenue remain the key execution tests. (07/24/26)

AMD TAM Updates



15. Agentic AI Expands Server-CPU Opportunity

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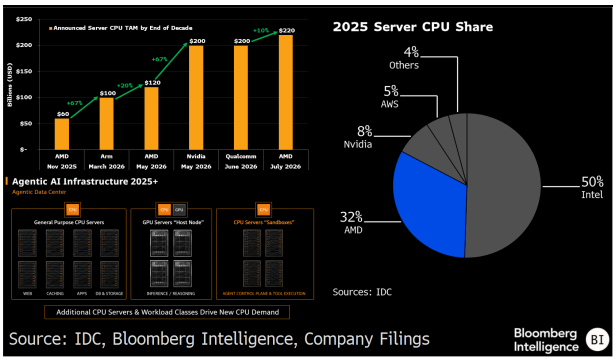
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Bloomberg Intelligence

AMD's server-CPU momentum is broadening from share gains into structural market expansion as agentic AI drives more orchestration, sandboxing and general-purpose compute around accelerator clusters. Management now sees the server-CPU market exceeding $220 billion by 2030, up from the $120 billion framework given in May, with agentic servers emerging as the fastest-growing segment. AMD's Venice server CPU strengthens its position through higher core density, performance per watt and workload-specific designs spanning GPU host nodes, agent sandboxes and general-purpose servers. That could give AMD a competitive advantage over new Arm-based server CPU entrants such as Nvidia's Vera, Arm's AGI, Qualcomm's Dragonfly C1000, as well as hyperscaler custom CPUs such as Google's Axion and AWS' Graviton.

EPYC's role is shifting from a supporting control layer to a larger share of AI infrastructure spending, which could sustain above-market growth and richer mix even as GPU deployments scale. Independent benchmark validation and hyperscaler adoption remain key. (07/24/26)

AI Drives Server CPU Growth



16. Helios Moves AMD Into Rack-Scale Competition With Nvidia

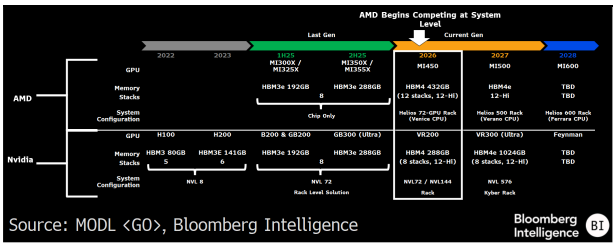
AMD's MI455X and Helios platform mark its first credible move from selling standalone accelerators to competing at the rack level, narrowing a key structural gap with Nvidia. Helios integrates 72 MI455X graphics processing units, each with an industry-leading 432 gigabytes of high-bandwidth memory 4, alongside Venice CPUs and Pensando networking. The architecture delivers 1.8 terabytes a second of unidirectional scale-up bandwidth per GPU, positioning it competitively against Nvidia's Vera Rubin platform. To reduce the manufacturing and thermal-density risks that have delayed competitors, AMD used its ZT Systems acquisition to design Helios around a double-wide open-standard rack, prioritizing deployment reliability over maximum density. Nvidia still holds an advantage in rack density and software maturity with its 144-GPU Vera Rubin NVL144 platform, while its 2027 road map expands to an NVL576 configuration with the Rubin Ultra Kyber Rack. AMD is responding with an annual cadence for rack-scale systems that mirrors its silicon road map, set to begin in 2027 with the MI500 series and an expected 256-GPU scale-up domain spanning three racks.

AMD's open architecture, which uses the Ultra Accelerator Link protocol over standard Ethernet, gives hyperscalers an alternative to Nvidia's proprietary ecosystem and could reduce dependence on a single vendor. Still, operational proof remains essential. Successful physical deployments, evidence that Ethernet-based networking can approach NVLink efficiency and ROCm 7 software performance at scale are the key tests ahead of the 2H launch. (07/24/26)

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AMD's Updated Rack-Scale Road Map vs. Nvidia



Server CPU Market Dynamics

Nvidia, ARM, Intel and AMD Gain From Server-CPU Renaissance

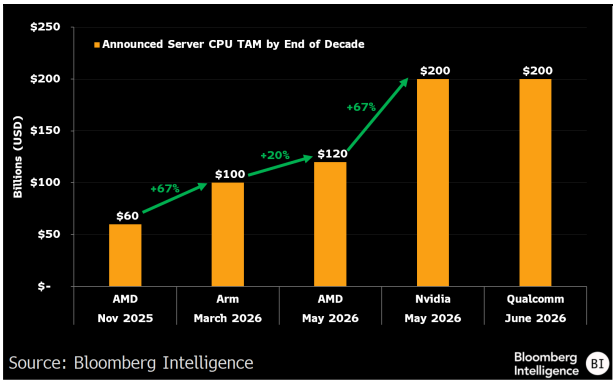
Server CPUs are taking a larger role in AI infrastructure, with Qualcomm forecasting a total addressable market of $200 billion by 2030, up from $60 billion this year, setting up revenue gains for companies like Nvidia, Arm, Intel, AMD and Qualcomm. Inference, orchestration and agentic workloads are lifting demand for compute coordination, memory management and data movement. This can restore pricing power for AMD and Intel amid tight supply, while expanding Arm's data-center opening and Nvidia's full-stack AI opportunity. (07/09/26)

17. Server CPU Market Expands as AI Demand Broadens

The server CPU opportunity has grown as AI workloads expand into inference, orchestration and data movement, lifting CPUs beyond a mature general-purpose refresh market. Since late 2025, industry TAM targets have risen from AMD's $60 billion estimate to $100-$120 billion from Arm and AMD in spring 2026, and $200 billion from Nvidia and Qualcomm at midyear.

That shift widens the field for incumbents and new entrants. AMD and Intel could benefit from tighter supply, stronger pricing and unit growth, while Arm's data-center push gains from cloud-native, power-efficient designs. Nvidia and Qualcomm's $200 billion framing shows CPUs are now tied more directly to full-stack AI systems, connectivity and accelerator platforms as agentic AI raises memory-management, scheduling and orchestration needs. (07/10/26)

Server CPU TAM Climbs Toward $200 Billion by 2030



18. Arm CPUs Gain Ground in AI Infrastructure

AI-server head nodes and orchestration-CPU demand face competition between Arm and traditional x86 processors at the top hyperscalers. Though agentic AI is likely to aid all CPUs in the market, we expect Arm to gain share in this subsegment. AI-server CPU unit growth is projected to rise 59%

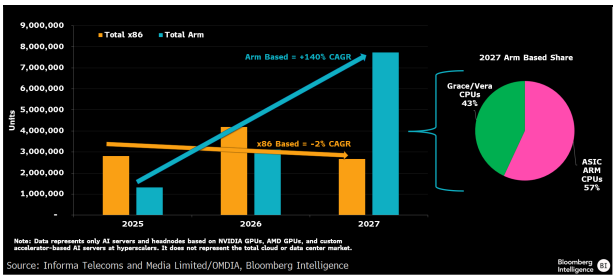
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annually in 2025-27, with Arm-based products up 140% vs. a 2% drop for x86. Nvidia could capture a significant portion of this transition through Vera, while hyperscalers increasingly pair custom ASICs with Arm CPUs such as AWS Graviton and Google Axion. Chinese deployments are also shifting toward Huawei's Arm-based alternatives.

AMD is well positioned given Helios and strong hyperscale ties, while Intel faces the greatest pressure as Arm-based competitors and custom AI infrastructure increasingly bypass traditional x86 designs. (07/09/26)

Arm CPUs Take Share in AI Servers

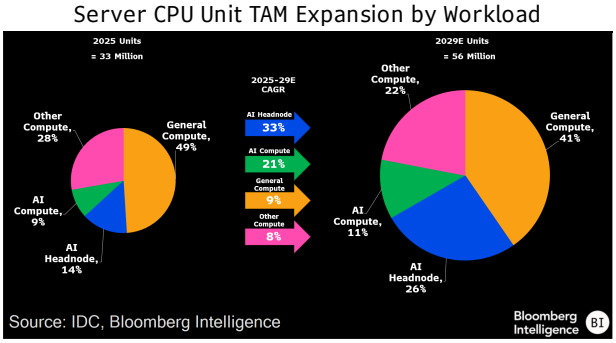


19. Agentic AI Sparks Rapid Server-CPU Unit Growth

Server CPUs are rebounding after a multiyear slump as AI reshapes compute demand, with growth no longer ceded to GPUs but reinforced by rising system-level workloads. CPUs are regaining importance as inference and agentic AI lift orchestration, data movement and coordination needs across AI clusters. Intel and AMD have both highlighted stronger-than-expected server-CPU demand, with hyperscalers pursuing multiyear-supply pacts and prioritizing CPU capacity for refresh cycles.

AI head-node CPUs are poised to grow at a 30%-plus compound annual rate through the decade, outpacing general compute, as the CPU TAM expands toward $200 billion. With AI infrastructure shifting to rack-scale systems, CPUs are becoming more key for performance and the total ownership cost, supporting a structurally larger market alongside accelerators. (07/09/26)

Server CPU Unit TAM Expansion by Workload



20. Vera CPU Push Could Drive 20-30% Server Share

Nvidia's Vera architecture expands the company's role in AI infrastructure beyond GPUs by embedding CPUs throughout the AI factory. Unlike prior systems heavily dominated by a fixed 1:4 CPU to GPU ratio, recently transitioned to 1:2 for most AI inference workloads, Vera CPUs manage compute, networking and storage functions across the Vera Rubin platform and bring the ratio closer to parity. The shift increases CPU content alongside GPU deployments and could allow Nvidia to rapidly emerge as a meaningful server-CPU supplier, with a 20-30% share in 2026, we calculate, vs. almost none in 2024.

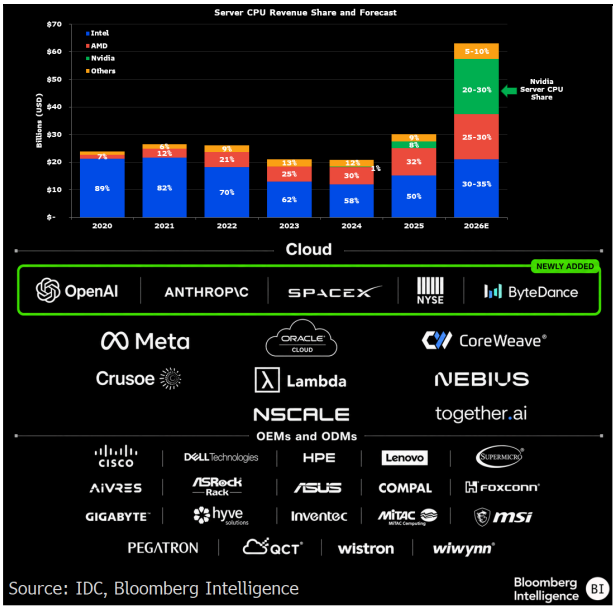
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With AI infrastructure increasingly dependent on low-latency orchestration for agentic AI and inference workloads, Nvidia is positioning itself to capture a larger share of a server-CPU market that could exceed $200 billion by decade-end. (07/09/26)

Vera Could Rapidly Build Server CPU Share

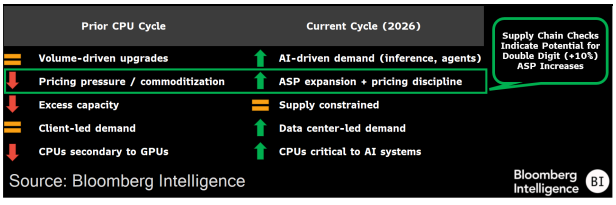


21. Price Increases Bode Well for AMD, Intel

Server CPU pricing is rising as tight supply, robust hyperscaler demand and a shift to higher-performance SKUs restore pricing power after years of commoditization. Intel and AMD are lifting CPU prices, with our channel checks pointing to 10-15% increases in 1H and some SKUs moving higher, supported by shortages, multimonth lead times and AI demand that has left 2026 capacity sold out.

The pricing shift is showing up in results. Intel's latest DCAI revenue topped expectations, with management saying sales would have been higher with more wafer supply, while AMD's data-center upside was driven largely by server CPUs, up more than 50% year over year. Supply constraints may cap near-term upside, but reinforce pricing discipline and margin leverage as both prioritize higher-value server capacity. (07/09/26)

Server CPU Market Shifts to Pricing Power Cycle



China AI Chip Outlook for AMD

Nvidia H200 Access May Ease China AI Gap, Not Halt Local Shift

Limited H200 shipments to China can reopen a sliver of revenue for Nvidia, potentially representing upside of 4-6% fiscal 2027 sales, if approvals are granted and it can start shipping this year. That would be upside to consensus, given most models have excluded China for the rest 2026, and is unlikely to reset the market. BI's China CIO survey shows local accelerator budgets rising toward parity with

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foreign chips, while Huawei's evaluation pipeline and full-stack reach point to a lasting domestic-substitution cycle, even if Nvidia is allowed to ship targeted volume into China. (07/16/26)

22. H200 China Access May Add Upside, But It's Not a Reset

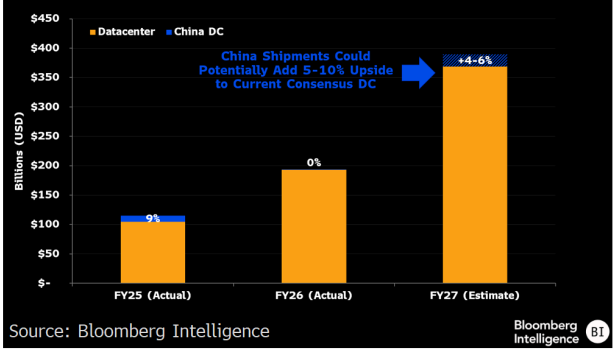
Potential H200 approvals for China can reopen a near-term revenue lever for Nvidia because consensus models largely assume no China data-center compute sales in fiscal 2027. An estimated targeted allocation of about 200,000 H200 chips each to Alibaba, ByteDance and DeepSeek implies total gross revenue of $15-$21 billion at $25,000-$35,000 per chip before fees. Average selling prices are uncertain, given unclear details on the form factor (cards, DGX/HGX systems, full racks) and the networking that would be shipped with each H200.

All of it would be upside, but is unlikely to reset the thesis on Nvidia's long-term share prospects in China. Approvals appear quota-based and training-focused, while China's long-term goal is domestic substitution. Conversion may also be supply-limited, as Nvidia has incentives to prioritize scarce advanced packaging, high-bandwidth memory and system capacity for Blackwell and Rubin with Western customers. (07/16/26)

Potential Revenue for Nvidia From China

ASP ($ / H200 Chip)	Potential Units to 3 Customers (Baba, Bytedance, Deepseek) 200000	400000	600000
$25,000	$5	$10	$15
$27,500	$6	$11	$17
$30,000	$6	$12	$18
$32,500	$7	$13	$20
$35,000	$7	$14	$21

Matrix Revenue is in Billions (USD)



Source: Bloomberg Intelligence

Bloomberg Intelligence BI

23. China's GPU Shift to Local Suppliers Gains Speed

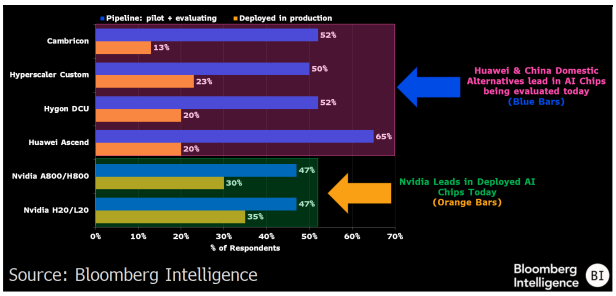
China's AI-chip substitution has advanced with to Nvidia stymied the past 12 months, though deployment still trails intent. BI's China CIO survey shows local accelerators rising to 46% over the next 12 months from about 30% of AI-chip budgets today, with 44% of respondents expecting domestic chips to exceed half of their accelerator budgets vs. 12% now. That points to rapid localization intent, but not an immediate share shift, as domestic supply of compute, high-bandwidth memory, networking and related components are gating factors.

Nvidia still leads in production deployments where available. H20/L20 chips are used by 35% of respondents and legacy A800/H800 chips by 30%, while Huawei Ascend and Hygon DCU are closer to 20%. Yet the pipeline is shifting. Huawei Ascend has the largest proof-of-concept and evaluation pool at 65%, with HBM and advanced packaging the main bottlenecks. This supports a dual-track market where China uses limited Nvidia access for frontier training while expanding domestic chips into broader deployment. (07/16/26)

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AI Chips Deployed vs. China Pipeline (BI Survey)

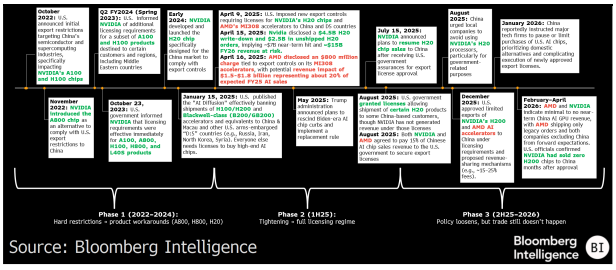


24. US-China Trade Restrictions Stymie AI Chip Sales

US export controls on advanced AI chips have evolved into a complex licensing regime, limiting sales not only to China but also to select Middle East markets like Saudi Arabia and the UAE. While Washington has signaled conditional approvals, actual shipments into China remain minimal, highlighting the gap between policy and execution. China as well has urged regional customers to rely more on domestic hardware solutions, reducing orders from Chinese hyperscalers. Nvidia and AMD have effectively excluded China from near-term AI revenue after tens of billions in lost 2025-26 sales.

Meanwhile, China's domestic ecosystem, led by Huawei's Ascend, continues to advance, raising the risk that prolonged restrictions accelerate regional self-sufficiency and the emergence of parallel AI supply chains. (05/11/26)

China Chip Restrictions Timeline (2022-26)



AMD Extended Earnings Preview

AMD CPU Drives Near Term; Helios Execution Key to Next Leg

AMD's 2Q results are likely to modestly exceed expectations, with upside again led by server CPUs as EPYC share gains and agentic AI drive above-seasonal demand. The broader debate has shifted beyond CPUs, with investors seeking evidence that MI450 and Helios are on track for a successful 2H ramp-up. Sentiment is increasingly tied to rack-scale execution, customer expansion and confidence that AI revenue will accelerate into 2027. (07/29/26)

25. CPU Rerating Takes Hold; GPU Execution Next Test

AMD delivered its cleanest back-to-back beat-and-raise quarters in more than two years, driven by stronger-than-expected server CPU demand and client share gains, while guidance exceeded expectations for revenue and gross margin. Data-center growth reflected sustained EPYC share gains alongside a steady MI355X ramp-up, but the more important takeaway was management's decision to double its server CPU total addressable market to $120 billion, a figure recently boosted to $220 billion, fundamentally changing the long-term CPU narrative. Shares rose 20% following the results and

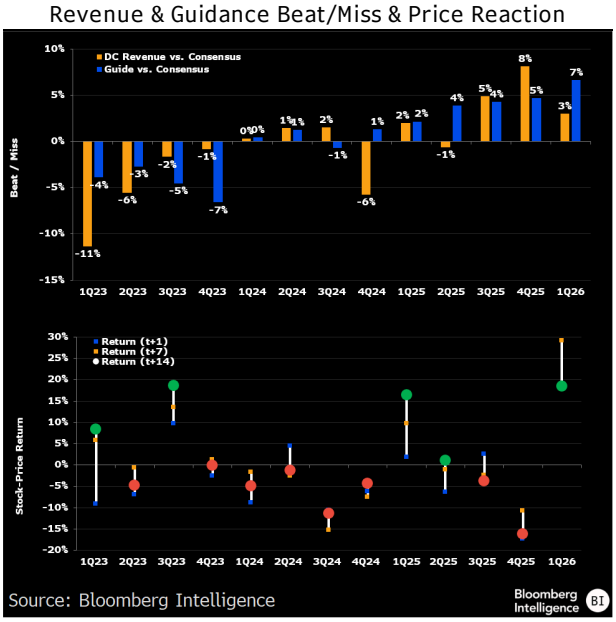
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rallied in subsequent weeks as CPUs were embraced as a structural beneficiary of AI rather than a traditional refresh story.

The focus shifts to sustaining CPU demand from validation. Agentic AI is reinforcing a longer-duration server CPU cycle, while attention increasingly turns to MI450 and Helios, where stronger customer engagement and a broader multigigawatt pipeline have increased confidence in AI expansion into 2027. The next leg up hinges on successful rack-scale execution in 2H, particularly in 4Q. (07/29/26)

Revenue & Guidance Beat/Miss & Price Reaction



26. Key Questions Heading Into Results

These are the key questions BI is watching for heading into earnings, focused on near-term fundamentals, key drivers and longer-term strategic positioning. (07/29/26)

Questions for Management:

- Can AMD provide additional color on MI450 and Helios readiness, including customer qualification, production timing and early rack-scale deployment progress?
- Are customer engagements still broadening beyond OpenAI and Meta, and how should investors think about additional multigigawatt deployments into 2027?
- Can gross margin keep expanding on stronger server CPU mix, or should investors begin to expect greater dilution as MI450 ramps up later this year?

Earnings Call Details:

- Call Details

Chart Book

Company

AMD CPU Re-Rating Bridges to Rack-Scale AI Inflection

Advanced Micro Devices' fundamentals are increasingly anchored by a structurally stronger server-CPU cycle, with EPYC share gains, a higher core-count mix and agentic AI demand driving growth above prior expectations. MI355X remains the near-term GPU bridge, while MI450 and Helios introduce a more meaningful second-half inflection as customer forecasts and multi-gigawatt

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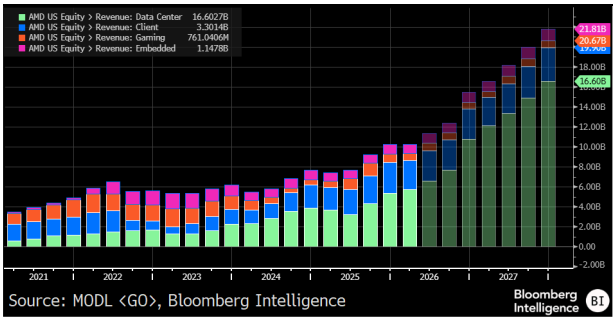
engagements expand. CPU mix supports margins in the near term, though the Helios ramp may dilute gross margin before scale and cost efficiencies improve into 2027.

To access the latest available data or charts, please click on the links below the images. (08/04/26)

27. Continued Growth in Data Center and Client Business

(07/21/26)

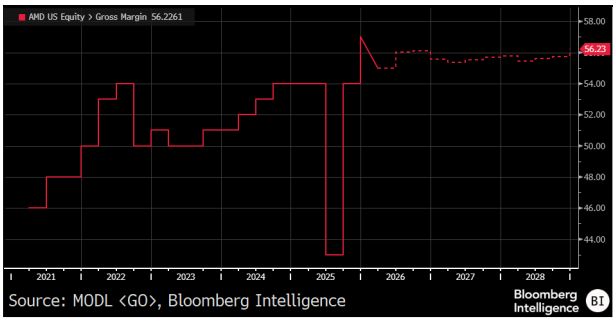
Revenue Segment Consensus



28. Gross-Margin Expansion Fueled by AI Growth

(07/21/26)

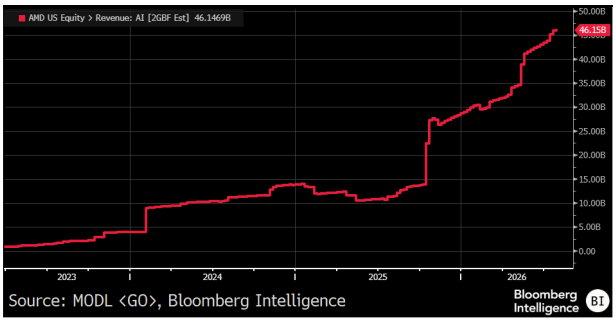
Gross-Margin Consensus Forecast



29. MI450 Transition Poised to Be an Inflection

(07/21/26)

Forward 24-Month AI-Revenue Sales Consensus



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Peers

AMD Moves From CPU Challenger to Rack-Scale AI Contender

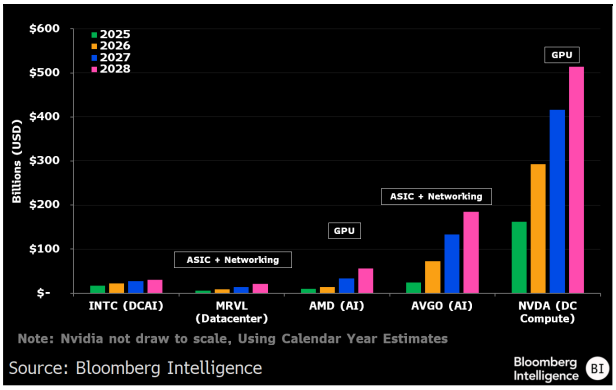
Advanced Micro Devices is attempting to replicate its server-CPU share-gain playbook in AI GPUs, where its position remains well below its 20-30% server-CPU share. MI450 and Helios offer the first credible opportunity to compete with Nvidia at the rack level, supported by improving ROCm maturity, expanding customer breadth and multi-gigawatt commitments. AMD is emerging as the leading merchant alternative, but software, networking and execution at scale remain key gaps as hyperscaler ASIC competition intensifies.

To access the latest available data or charts, please click on the links below the images. (08/04/26)

30. Striving to Be No. 2 in Merchant GPU

(07/21/26)

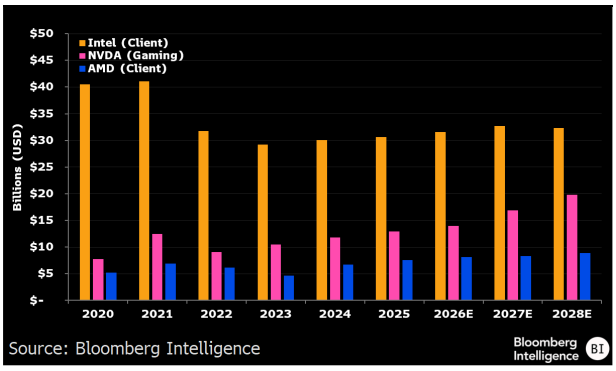
Consensus AI-Revenue Forecasts



31. Client Revenue Poised to Be Stable Post-Recovery

(07/21/26)

Consensus PC Revenue Forecasts



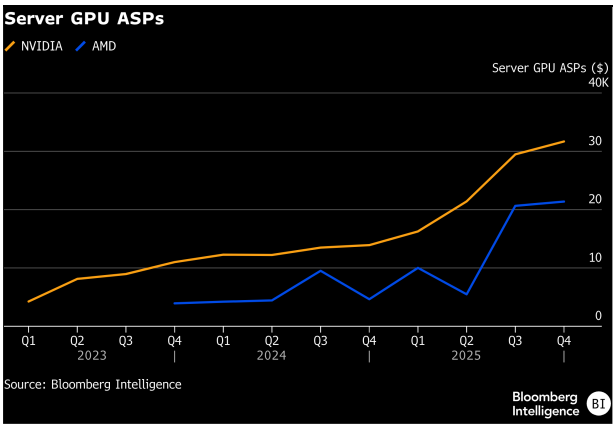
32. Attempting to Take Share With Better Pricing vs. Nvidia

(07/21/26)

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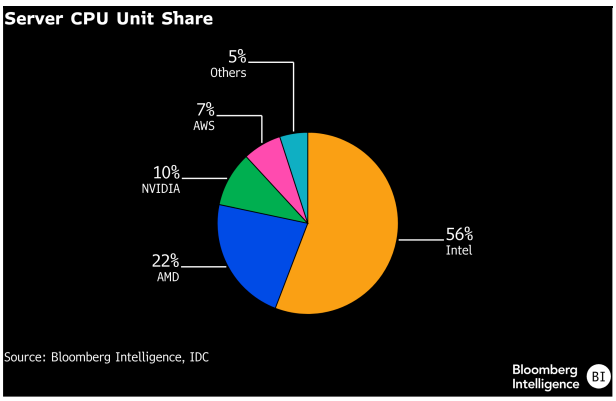
IDC Server-GPU Historical Average Selling Prices



33. Continuing to Chip Away at Intel's Server-CPU Majority Share

(07/21/26)

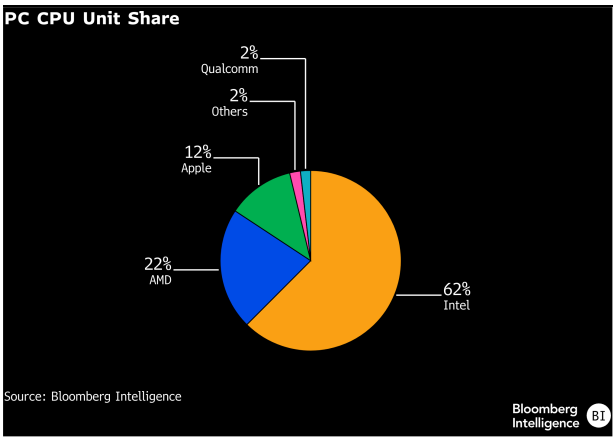
IDC Server-CPU Market Share



34. Still Gaining Share in PC CPU Market

(07/21/26)

IDC PC CPU Market Share (Mobile)



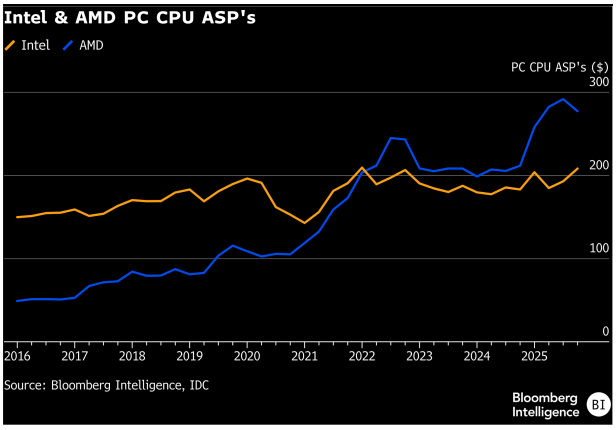
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35. Premium Pricing, Gaining Share, Underscores Product Strength

(07/21/26)

IDC PC CPU Average Selling Prices



Industry Themes

Custom AI ASICs Outlook

Custom AI Semiconductors Continue to Challenge Nvidia, AMD GPUs

The rapid proliferation of open-weight AI models like Kimi and DeepSeek could commoditize the software layer, shifting economic value toward hardware infrastructure. This dynamic will likely bode well for custom ASICs as hyperscalers seek to optimize inference costs and capture higher margins. The compute requirements to train and serve these models, along with demand for flexible architectures, should also ensure merchant GPUs from Nvidia and AMD remain indispensable, driving a dual-track capital spending boom that expands the total addressable market for both silicon architectures. (08/11/26)

36. Open-Weight Models Shift Focus to ASIC Cost Advantages

The proliferation of open-weight models like DeepSeek, Qwen and Kimi could commoditize the AI "intelligence layer," shifting the industry's economic moats to physical infrastructure and hardware-acquisition costs. For hyperscalers hosting these open-weight models, custom ASICs offer significantly lower average selling prices (ASPs) than merchant GPUs. Nvidia's Blackwell B200 package commands $30-$40,000 ASP, but premium custom silicon like Google's TPU v7p costs roughly $15,000, and cheaper inference variants like the Trainium series can be deployed for as little as about $8,000. The ASP discrepancy stems from system-level margin stacking. Custom ASICs allow cloud giants to procure peripheral components directly, bypassing the 75%-plus gross margin Nvidia earns on its tightly bundled reference architectures. The historical software moat is also eroding: open-source native compilers are increasingly bypassing Nvidia's CUDA platform, making it easier to port open-weight models to alternative silicon.

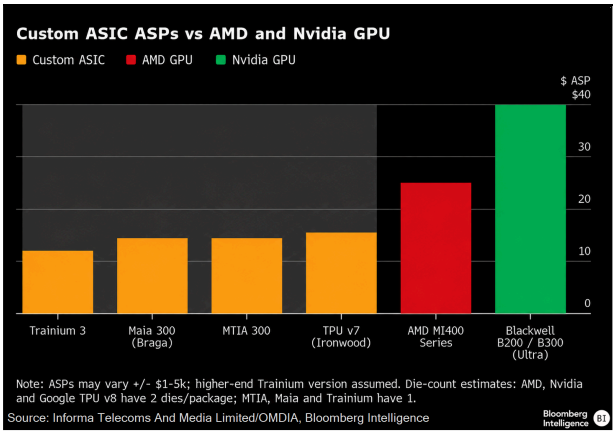
By running optimized inference workloads on architectures like TPU v7, hyperscalers can achieve an all-in total cost of ownership (TCO) that's materially lower than an equivalent deployment of Nvidia's GB200, cementing vertical integration as more attractive for hyperscalers who have the scale and

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resources for heavy R&D and engineering. ASIC programs require significant upfront costs, including $1-$3 billion for advanced nodes. (08/14/26)

GPU & Custom ASIC ASPs

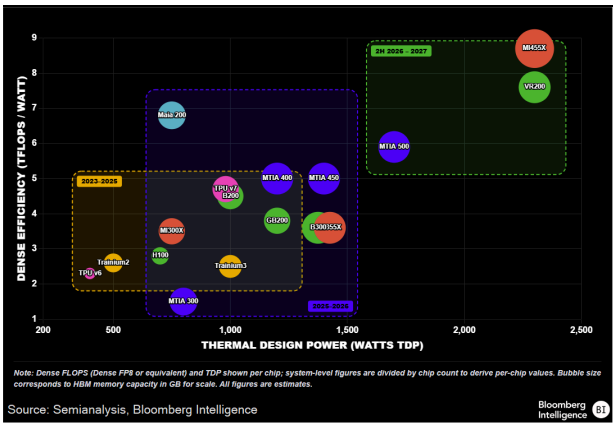


37. Custom ASICs Challenge GPUs on Real-World Efficiency, TCO

As AI scales, custom ASICs are challenging merchant GPUs by focusing on TCO and workload specialization rather than raw compute performance and flexibility. Merchant vendors tout massive dense FP8 FLOPS, yet real-world constraints -- such as power delivery and dynamic frequency scaling -- often limit GPU Model FLOP Utilization (MFU). In contrast, ASICs paired with bespoke compilers achieve significantly higher MFU for targeted workloads. For example, TPU v7 when deployed in a 3D Torus configuration, delivers an all-in TCO that is much lower than a GB200 server, offsetting a minor shortfall in peak theoretical performance. At an optimized MFU, TPU v7 reduces cost per effective training FLOP. ASICs also tend to operate at significantly lower thermal design power.

However, the ASIC advantage is nuanced. Nvidia and AMD maintain a formidable software moat via their CUDA and ROCm platforms, offering flexibility across diverse workloads out of the box. In contrast, ASICs require deep engineering resources to build custom compilers and optimize workloads. Missing architectural shifts can also penalize ASICs; for instance, Trainium 3's lack of native FP4 support leaves it with a higher TCO per marketed FP4 FLOP than Nvidia's latest silicon. Even if not universally deployed, robust ASIC programs serve as a vital strategic lever for hyperscalers to negotiate better merchant GPU pricing. (08/14/26)

AI Accelerator Power & Efficiency Matrix



38. Megadeals Validate Custom ASIC Strategies

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Hyperscalers originally designed custom ASICs for internal workloads, yet a wave of multigigawatt commercial agreements has validated them as a pillar of heterogeneous compute strategies. Leading frontier AI labs are diversifying their silicon dependencies to secure capacity and lower costs. Anthropic recently signed a 10-year, $100 billion agreement for up to 5 GW of Trainium compute, while also committing to a 5-GW-plus TPU v7 rollout that includes $21 billion in direct rack purchases and likely billions more of compute in cloud rentals. OpenAI is similarly embracing heterogeneous infrastructure, backing a 10-GW, $150-$200 billion custom "Titan" XPU deployment with Broadcom through 2029, alongside a 2-GW Trainium pact and a $24.6 billion commitment for Cerebras wafer-scale systems via cloud capacity.

Even hyperscalers are cross-pollinating: Meta is leveraging Broadcom for 3 GW of turnkey MTIA systems while also renting multigigawatts of Google's TPU capacity. This third-party adoption shows custom silicon has become adoptable by third parties, offering bankable performance for the world's most advanced AI models. (08/11/26)

Third-Party ASIC Deals Signal Custom-Silicon Adoption

External Custom ASIC Deals

Hyperscaler	External Customer	Hardware Deployed	Deal Capacity	Financial Structure & Value	Deployment Details & Timeline
Google	Anthropic	Google TPU v7 (Ironwood) & Next-Gen TPUs	Up to 3.5GW – 5GW+ total compute	$21B+ Direct Rack Purchases ($10B Q3'25 + $11B Q4'25) + GCP Cloud Rental	Phase 1: 1GW starting 2026. Anthropic trains Claude 4.5 Opus.
Google	Meta	Google TPU v7 / v8 (via GCP)	Multi-gigawatt scale	Multi-billion dollar multi-year cloud agreement	Meta leasing Google TPUs via GCP for recommendation systems, ranking, and AI training/inference.
Google	Apple	Google TPUs (via GCP)	Undisclosed	Multi-year cloud rental contract	Apple renting TPU capacity to power Apple Intelligence and private cloud AI processing.
AWS	Anthropic	AWS Trainium 2, Trainium 3 & Trainium 4	Up to 5GW compute capacity	$100B, 10-Year Commitment by Anthropic to AWS + $13B+ Amazon Equity Investment	Project Rainier: 400k Trainium2 cluster in '24–'25. Ramping 2GW by YE26 on Trainium 3, scaling to 5GW on Trainium 4.
AWS	OpenAI	AWS Trainium 3 & Trainium 4	~2GW of Trainium capacity	Expanded $100B, 8-year compute contract with AWS	OpenAI committing to consume ~2GW of Trainium capacity starting in 2026/2027.
AWS	Databricks	AWS Trainium 2	Enterprise cluster scale	Multi-year GenAI partnership	Databricks adopting Trainium2 instances as lead external inference customer for MoE models (DBRX).

Source: Bloomberg Intelligence, Company Filings

Bloomberg Intelligence BI

39. GPUs Undisputed Standard for Versatility, Yet ASICs Catching Up

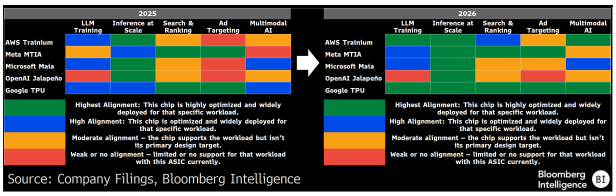
Custom application-specific integrated circuits (ASICs) are becoming more versatile after initially targeting narrow internal workloads, but merchant GPUs retain an advantage in flexibility. Complex agentic workflows and expanding context windows require adaptable compute, supporting demand for Nvidia's Blackwell and Vera Rubin platforms and AMD's MI350 and MI455 series. Their programmability is important for frontier-model training and enterprise cloud deployments, particularly for the 10-20 companies without R&D budgets to develop custom chips.

The software ecosystem reinforces that advantage. Millions of developers already build and optimize workloads on Nvidia's CUDA platform, easing deployment relative to bespoke ASIC software. Competition is increasing, however. AMD's partnership with Anthropic can accelerate development of its open-source ROCm platform and narrow Nvidia's software advantage. (08/12/26)

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2025 vs. 2026 ASIC Workloads



Arm Investor Day

Arm Foray in $100 Billion AI CPU Market Accelerates Earnings

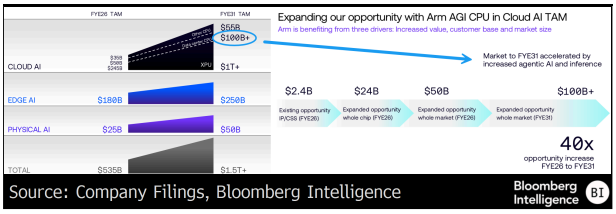
Arm's move into AI data-center CPU chips expands its addressable market by $100 billion, adding direct silicon sales beyond royalties. Chip sales add a sizable revenue stream ($15 billion in fiscal 2031) but also pose competitive, margin and valuation risks. Nevertheless, successful execution would speed up long-term earnings growth. (03/25/26)

40. AI CPU Content Expansion Drives Step-Up in TAM

CPU demand is poised to expand as agentic and inference workloads increase orchestration needs, shifting CPUs from a supporting role to a larger share of system value. Arm's framework implies CPU content per GW could rise about 4x long term, driven by higher core counts and broader deployment across head nodes, networking and control-plane functions. This should lift both unit demand and silicon value per system as designs incorporate more cores and higher-value CSS.

Under the IP and CSS model, Arm's opportunity was effectively capped at a low-single-digit-billion-dollar royalty pool. Moving into full silicon expands that to a $100 billion-plus data-center CPU opportunity by fiscal 2031, while broadening the customer base beyond hyperscalers to enterprises, telecoms and cloud providers without in-house design capability. (03/25/26)

Arm's New TAM



41. Targets Largely Intact; Silicon Drives Upside

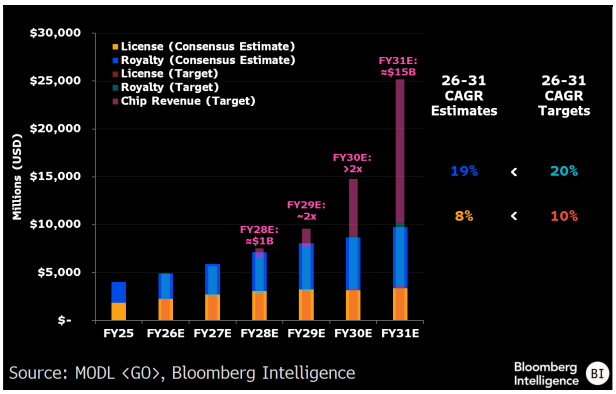
Arm's long-term targets remain broadly in line with consensus, with royalty growth tracking around 20% and licensing in the high-single digits to low teens. Management signaled continued outperformance vs. prior targets, supported by sustained AI-driven demand and strong visibility from contracted royalties, suggesting limited change to the underlying IP growth profile.

Upside stems from the AGI CPU driving new revenue that's not reflected in prior models, with a back-end-loaded ramp-up toward $15 billion by fiscal 2031. Growth is fueled by expanding customer adoption and rising ASPs tied to higher core counts, with early demand validated by leading LLM customers such as Meta & OpenAI. This positions chips as the primary driver of upside, more than doubling total revenue potential over the next five years. (03/25/26)

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Consensus Revenue vs. Targets

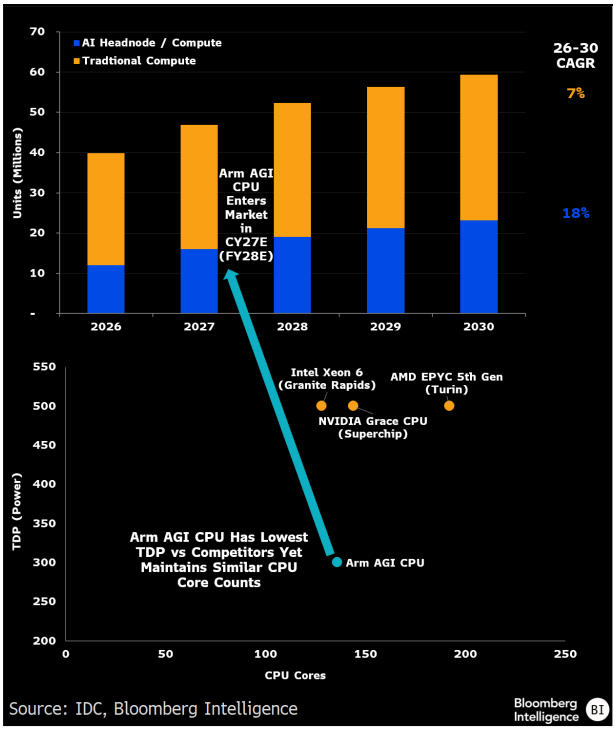


42. Efficiency, Ecosystem Breadth Define Positioning

Though AMD and Intel offer comparable performance, Arm's AGI CPU delivers higher compute density per watt, at about 300W vs. roughly 500W for peers, a key advantage as power becomes the primary constraint. Top hyperscalers already build on Arm IP, and more than 10,000 cloud customers run Arm-based Neoverse, creating a natural pathway to on-premises adoption. This positions Arm to expand beyond hyperscaler deployments into broader enterprise and cloud markets.

Importantly, AGI CPU targets a different segment than hyperscaler-designed CPUs like Nvidia's Vera, which are optimized for tightly coupled accelerator systems. Arm's offering is a more general-purpose, power-efficient CPU aimed at control-plane and enterprise workloads, accelerating share gains from x86 without necessarily displacing existing custom Arm-based designs. (03/25/26)

Server CPU Forecast & Competitive Specs



43. Margin-Dilutive Near Term, Accretive to Profit

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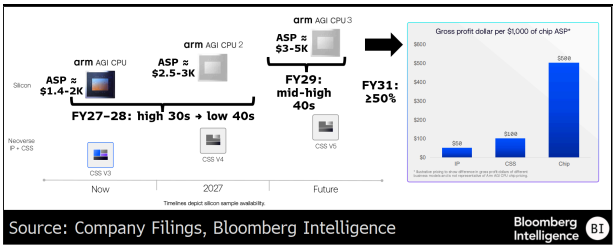
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Bloomberg Intelligence

Arm's move into silicon will likely pressure gross margins initially but significantly increase profit dollars per chip. AGI CPU margins start in the high-30% to low-40% range, and are expected to approach 50% longer term. Though below Arm's IP margins of about 98%, each chip generates multiples of the gross profit dollars of the legacy model, supporting overall earnings expansion.

This expansion is supported by rapid ASP scaling and mix improvement. Initial chips are likely priced around $1,400-$2,000, with next generations rising toward $2,500-$3,500-plus as core counts increase, alongside reduced reliance on external partners and greater in-house control. As a result, silicon should be EPS-accretive despite lower margin percentages, with operating margins exceeding 30% as scale and pricing improve. (03/25/26)

Arm Chip Road Map; ASP & Margins



Credit Primer

AMD Credit Outlook

44. AMD AI Revenue Accelerates as Data Centers Boom: Credit Outlook

Contributing Analysts Robert Schiffman (Credit) & Suchi Trivedi

THESIS: Advanced Micro Devices' data-center revenue could nearly double in 2026 as Instinct GPU deployments accelerate, boosting financial flexibility and its credit profile. OpenAI and Meta deployments begin in 2H26, followed by Anthropic in 1H27, under agreements totaling up to 14 GW. Trailing-12-month revenue has risen 40% on stronger demand for AMD's EPYC data-center CPUs and broader enterprise adoption of agentic AI. AMD's A1/A ratings are supported by strong liquidity, improving cash generation and conservative financial policy, with limited debt, $13.1 billion of cash and short-term investments, and $4.1 billion of 1H26 free cash flow.

AMD's strength is reflected in its tight spreads vs. single-A tech peers, suggesting relative spread compression may be difficult without further upgrades. (08/28/26)

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